

Retail investors are the dumb money? Maybe a few decades ago, but today? Much less so.

Most investment assets today are still managed actively. However, as I noted in 2017, the active part of the money-management industry is still being downsized—or more accurately, right-sized.<sup>362</sup> The active management world still has not yet come to grips with the sea change that followed the financial crisis.<sup>363</sup>

Passive indexing and ETFs have provided a counterweight to the active traders who seem to be panic selling. Remember that the next time someone warns you of the dangers of passive investing.

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<sup>348</sup> Luke Kawa, “Bernstein: Passive Investing Is Worse for Society Than Marxism,” Bloomberg (August 23, 2016).

<sup>349</sup> Matt Levine, “Are Index Funds Communist?” Bloomberg (August 24, 2016).

<sup>350</sup> Myles Udland, “Jobs Week is Here,” Business Insider (March 28, 2016).

<sup>351</sup> Simone Foxman, “Paul Singer Says Passive Investing Is ‘Devouring Capitalism,’” Bloomberg (August 3, 2017).

<sup>352</sup> Michael Sheetz, “Jeffrey Gundlach says passive investing has reached a ‘mania’: Investors should avoid index funds,” CNBC (December 17, 2018).

<sup>353</sup> Luke Graham, “Passive investing boom is creating a ‘frightening’ risk for markets, Morgan Stanley says,” CNBC (July 10, 2017).

<sup>354</sup> Christopher Joye, “Passive investing is lobotomised investing,” *Financial Review* (May 5, 2017).

<sup>355</sup> James Ledbetter, “Is Passive Investment Actively Hurting the Economy?” *The New Yorker* (March 9, 2016).

<sup>356</sup> Michael Brush, “Opinion: Your love of index funds is terrible for our economy,” MarketWatch (December 10, 2018).

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Kopin Tan, “The Passive Investing Bubble Could Soon Pop,” *Barron’s* (March 25, 2017).

<sup>358</sup> John Divine, “Has Passive Investing Become Fraught With Risk?” *Money* (November 14, 2019).

<sup>359</sup> David Tuckwell, “Vanguard’s ETF investors are buying the dip,” ETF Stream (March 11, 2020).

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Caleb Silver, “Individual Investors Calmly Buy Stocks During Sell-Off,” Investopedia (March 11, 2020).

<sup>361</sup> Bill McNabb, Masters in Business podcast, Bloomberg Radio (May 2015).

<sup>362</sup> Barry Ritholtz, “Don’t Mourn the Death of Stock-Picking Just Yet,” Bloomberg (April 5, 2017).

<sup>363</sup> Barry Ritholtz, “The Death of Active Management Has Been (Somewhat) Exaggerated,”